Selecting the Right Third-Party Logistics (3PL) Partner

1. Background

AgriFresh Foods Ltd. is a mid-sized Indian food processing company specializing in packaged fruits, vegetables, and ready-to-eat products. Over the past decade, the firm has rapidly expanded its retail presence through both modern trade outlets and online grocery platforms. With this growth, logistics operations have become increasingly complex, involving cold-chain requirements, time-sensitive deliveries, and a need for scalable distribution across 12 states. The firm's leadership has decided to outsource logistics to a Third-Party Logistics (3PL) partner. However, the choice is not simple: multiple 3PL providers operate in India, each with different cost structures, technological maturity, and service quality.

2. The Managerial Challenge

The management team at AgriFresh shortlisted six 3PL providers:

A1: DHL Supply Chain India

A2: Mahindra Logistics

A3: TVS Supply Chain Solutions

A4: Gati-KWE

A5: DTDC Express

A6: Blue Dart Express

Earlier, AgriFresh was considering only *three* tangible criteria: cost, delivery time, and distance to hubs. But after further deliberation, the board decided to expand the evaluation framework to include intangible and strategic criteria as well.

3. Selection Criteria

Tangible Criteria

1. Cost (C1): Average cost per shipment (₹). Lower is better.
2. Delivery Time (C2): Average lead time in hours. Lower is better.
3. Distance Factor (C3): Proximity of 3PL hubs to AgriFresh's distribution centers. Lower is better.

Intangible/Strategic Criteria

4. Technological Capability (C4): Use of IT systems, tracking, automation, and integration with AgriFresh's ERP.
5. Flexibility & Scalability (C5): Ability to handle seasonal surges, demand volatility, and customization.

6. Reputation & Relationship (C6): Industry credibility, customer trust, and willingness to collaborate for long-term partnerships.

4. The each 3PL submitted quotes to company and compataztive statement prepared is given in Table below.

Alternative	C1 Cost (₹/shipment)	C2 Delivery Time (hrs)	C3 Distance coverage (km)	C4 Logistics Technology (1–9)	C5 Flexibility (1–9)	C6 Reputation (1–9)
DHL	95	26	120	9	8	9
Mahindra Logistics	90	30	150	7	8	7
TVS SCS	92	28	130	6	7	8
Gati-KWE	88	34	180	6	6	6
DTDC	85	36	200	5	5	6
Blue Dart	98	24	100	8	7	8

C4/C5/C6: higher is desirable

6. Class Discussion Questions

A. Weight Sensitivity: How would the rankings change if cost were given 40% weight (instead of 20%)? Who benefits most?

B. Strategic Trade-offs: Should AgriFresh pay more for faster and more reliable service (Blue Dart/DHL), or prioritize cost efficiency (Mahindra/TVS)?

C. Broader Impact: How might the choice of 3PL affect AgriFresh's brand image, customer satisfaction, and long-term competitiveness?